

Pakistan will electrify its motorcycles. The question is who gets to sell them.

A decision board built from audited filings, primary regulation and a working cost model — not from trade press. It is designed to survive scrutiny, including where the answer is uncomfortable.

Compiled 26 August 2026 • Desk research • No supplier or platform contacted

Verdict	The demand case	The incumbent	India's warning	Two theses	Live model	Supply side
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THE ANSWER FIRST

Demand is not the risk. Being the seller is.

4–6 MONTHS PAYBACK • FLEET RIDER • NO SUBSIDY	7× CHEAPER PER KM THAN A HONDA CD 70	88% MARKET HELD BY ATLAS HONDA	30 Jun 27 TARIFF CONCESSIONS SUNSET
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Four independent lines of evidence converge on one conclusion. The economics of electric two-wheelers in Pakistan are **outstandingly good** — good enough to work with no subsidy, at the worst electricity tariff, with a punishing battery assumption. That is settled.

WHAT THE EVIDENCE SUPPORTS

A fleet-first entry, sold on arithmetic, serving delivery riders. Fuel is 30–71% of a Pakistani delivery rider's gross earnings. An electric bike repays its price premium in four to six months without any government support. There are 50,000+ known fleet riders and PKR

50m buys roughly 200 machines — so a first entry needs **under 1% of that market**. It is the only thesis found that survives every constraint.

WHAT THE EVIDENCE DOES NOT SUPPORT

A new consumer brand. Atlas Honda holds ~88% of the market on 1.69m units a year, runs **500+ dealers and 63 service points**, and has already launched an electric scooter while stating it needs *no additional investment* to do so. India ran this exact experiment: the best-funded pure-play went from **over 50% share to 6.8%** — beaten on service, not price.

THREE GATES REMAIN OPEN AND CANNOT BE CLOSED FROM A DESK

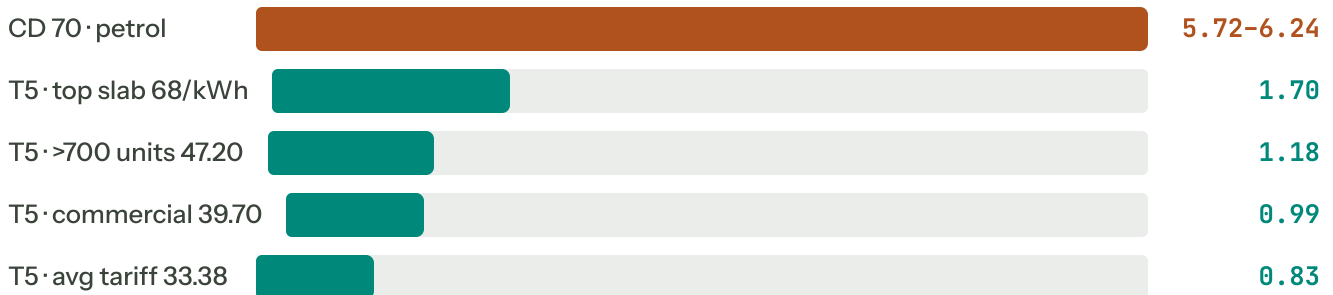
Whether a manufacturer will supply at this scale, whether a letter of credit can be opened today, and whether an enforceable battery warranty backstop exists. **Each is a conversation, not a search.** Any investment decision taken before those three are answered is taken blind.

THE DEMAND CASE

The running-cost gap is enormous and it survives every tariff

Cost to travel one kilometre

Honda CD 70 at PKR 343.10/litre vs Yadea T5 at 2.5 kWh/100 km, across Pakistan's domestic tariff slabs



■ Petrol ■ Electric PKR per km · lower is better

Even charged at **the most expensive domestic electricity in Pakistan**, the electric bike costs about a third of the petrol bike to run. At the national average it is roughly one-seventh. This is the most robust number in the analysis: it depends only on the price of petrol and the price of a unit of electricity — not on a forecast, a subsidy or a policy.

1.93m

MOTORCYCLES SOLD
FY26 • RECORD

+173%

ELECTRIC 2W GROWTH
• H1 2026

90,000

ELECTRIC 2W SOLD
APR-JUN 2026 ALONE

112,000

ELECTRIC 2W SOLD IN
ALL OF 2025

A single quarter of 2026 came within a fifth of the whole of 2025, against a total motorcycle market at an all-time high and growing 33.8%. **Electric is taking a fast-growing share of a fast-growing base.**

A PAKISTAN-SPECIFIC TRAP NOT DISCUSSED ELSEWHERE

Charging draws roughly **31 kWh a month**. Pakistan's protected domestic tariff cuts off at **200 units**, and crossing it removes protected status **from the entire bill, not just the marginal units**. A household at 175–200 units — plausibly exactly where a CD 70 buyer sits — gets pushed over.

The consequence is commercial, not academic: **a naive savings pitch gets contradicted by the customer's next electricity bill**. It is a strong argument for charging away from home — and it makes **solar charging a genuine differentiator** rather than a marketing line, because it bypasses the slab entirely.

THE INCUMBENT

This is not a competitive market. It is a near-monopoly that has already moved.

ATLAS HONDA • ~88%

OTHERS

Share of Pakistan's motorcycle market, FY26 • United, Road Prince, Yamaha, Suzuki, Qingqi and Ravi share the remainder

1.69m

UNITS SOLD FY26

500+

SALES DEALERS

63

SERVICE & SPARE-PARTS POINTS (38 3S • 20 2S • 5 1S)

AND IT HAS ALREADY LAUNCHED AN ELECTRIC SCOOTER

Atlas Honda has launched the **Icon e**, and its stated position is that **no additional investment is planned for EV production, because existing facilities are sufficient for expected demand.**

That is the India playbook running in Pakistan, now, at near-zero incremental capital: convert an amortised factory, sell through an existing dealer estate, service through an existing network. **A new entrant at PKR 50m would begin with zero dealers and zero service points against that.**

ONE STRUCTURAL DETAIL WORTH NOTING

Road Prince — one of the few substantial non-Honda networks — already carries Yadea, the world's largest electric two-wheeler maker. The most obvious supply partner and the most obvious distribution partner are therefore already paired with each other.

THE CLOSEST COMPARABLE

India already ran this experiment, and it ended badly for entrants

Same subcontinent, same commuter baseline, same price sensitivity, and a subsidy structurally similar to Pakistan's NEV cost-sharing. India ran the full cycle — boom, withdrawal, fraud investigation, shakeout — between 2022 and 2026. **Pakistan is at the start of that curve.**

2022 • THE BOOM

Subsidy builds a market, and a leaderboard

Generous per-vehicle support draws in new entrants. **Hero Electric and Okinawa hold 31% combined share.**

2023-24 • THE COMPLIANCE BLOW-UP

Fraud investigation and clawback

The Serious Fraud Investigation Office pursues **Hero Electric, Okinawa and Benling** over ~INR 2.97bn in localisation-linked claims. **~INR 469 crore ordered repaid. Over 80% of permanent staff laid off.** Combined share falls from 31% to 10%.

2024 • THE CLIFF

FAME-II lapses

Electric two-wheeler sales fall 53% in a single month. Beneficiary vehicles cut from ~989,000 to under 564,000.

2024-26 • THE SERVICE COLLAPSE

Ola Electric loses on parts, not price

From **over 50% share to 6.8%**. 10,644 consumer-helpline complaints, warranty claims refused, scooters queued for parts — and **Goa suspended its vehicle registrations** after a regulator probed spare-part availability. FY loss ₹1,833 crore.

2026 • THE MARKET GROWS ANYWAY

Legacy petrol makers take it

Registrations **up 53–75%** with support slashed. **TVS 25%, Bajaj 23%, Ather 16%, Hero 11%** — and those four took **95.6% of all incremental growth**.

THE TRANSFERABLE LESSON, STATED PLAINLY

Demand survives subsidy withdrawal. Entrants often do not. The market was captured by whoever already had dealers, service and brand trust. In Pakistan that means Atlas Honda — and it has already begun.

A second lesson matters for anyone claiming a Pakistani concession: **localisation-linked subsidy claims carry clawback risk**. Pakistan's 1% duty concession is gated on EDB certification and annual input reconciliation. Same structural shape. In India, getting that paperwork wrong was company-ending.

THE DECISION

Two ways in. Only one survives the evidence.

Months to repay the price premium

PKR 88,600 premium (Yadea T5 PKR 248,500 vs Honda CD 70 PKR 159,900) recovered from fuel savings alone



Consumer brand

NOT SUPPORTED

- Buyer decides on **brand, trust and dealer proximity** — precisely what Atlas Honda owns
- Millions of dispersed customers; extensive retail network required
- Payback **13–18 months** without subsidy — needs belief, not just arithmetic
- **Depends on the subsidy** to be an easy sell, and the subsidy tapers to 40% by year five
- India: the best-funded pure-play lost this fight from 50% share

Fleet supply

SUPPORTED

- Buyer decides on **arithmetic** — fuel is 30–71% of rider earnings
- **Dozens of operators**, not millions of consumers. No retail network needed
- Payback **4–6 months**, and **no subsidy required**
- Needs **under 1%** of the 50,000+ known fleet riders
- Targets exactly what Atlas Honda **says it will not invest in**

WHY FLEET CLEARS THE OBSTACLES THAT STOP EVERYTHING ELSE

It sidesteps the **incumbent's network**, because fleet buyers do not buy on brand. It sidesteps Pakistan's **~2 million units of idle assembly capacity**, because the scarce asset is swapping and service infrastructure, not another factory. It sidesteps the **order-minimum chasm**, because a few hundred units is reachable from the ODM tier. And it does not need the subsidy — which is the entire point of the policy risk.

BUT IT INHERITS THE HARDEST PROBLEM, IN ITS SHARPEST FORM

For a fleet, uptime is the product. A rider whose battery dies mid-shift loses income and never returns. At 80–128 km a day against a 75–85 km range, batteries cycle **312–500 times a year** — so lead-acid, rated 300–400 cycles, **dies in 8 to 13 months**.

Both chemistries pay back in about the same time, because lithium's higher cost is offset by its longer life. **So chemistry is not an economic choice here — it is an operational one**, and getting it wrong is precisely how Ola Electric lost India.

THE UNRESOLVED QUESTION AT THE CENTRE OF THE FLEET THESIS

A rider earning **PKR 35,000 a month** cannot produce **PKR 248,500 upfront**. The payback is excellent and almost irrelevant if the rider cannot buy the machine. **The model may have to be lease, rental or battery-as-a-service rather than sale** — which changes the capital profile, the working capital cycle and the risk entirely. This is the single most important thing to resolve next.

TEST THE ASSUMPTIONS YOURSELF

Live cost model

Every input below is adjustable. The defaults are the verified figures used throughout this analysis. **Move them to your own assumptions and watch the conclusion hold or break.**

Private consumer · 15,000 km/yr

Fleet rider · 24,960 km/yr

Distance per year

24,960 km

Petrol price

PKR 343.10 /l

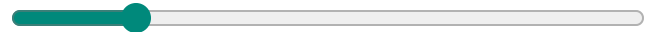


Electricity tariff

PKR 33.40 /kWh

Battery pack cost

PKR 30,000



Battery cycle life

350 cycles

Petrol bike economy

40 km/l



Apply PKR 65,000 NEV subsidy

8.58

PETROL · PKR/KM

1.91

ELECTRIC · PKR/KM
ALL-IN

13,876

SAVING · PKR/MONTH

6.4

PAYBACK · MONTHS

13

BATTERY LIFE ·
MONTHS

Fixed: T5 PKR 248,500 · CD 70 PKR 159,900 · 2.5 kWh/100 km · 80 km per charge. Battery life is computed from *cycles*, not calendar age — which is why fleet use destroys lead-acid.

SUPPLY SIDE

Who can actually supply you — read from audited filings

MANUFACTURER	REVENUE	NET MARGIN	VEHICLE UNITS	INTERNATIONAL
Yadea 1585.HK · FY2025	RMB 37.01bn	7.87%	16,269,200	Vietnam plant live
Aima 603529.SH · FY2025	RMB 25.10bn	8.11%	11,639,817	0.86% ↓7.89%
Luyuan 2451.HK · FY2024	RMB 5.07bn	2.29%	—	HKD 6.1m unspent
Xinri 603787.SH · FY2025	RMB 4.11bn	1.23%	2,284,597	2.48% @ 9.95% GM
NIU NASDAQ · FY2025	—	loss	1,192,039	6.7% of units
Huaihai unlisted · owns Zongshen brand	>RMB 10bn assets	—	—	Pakistan base

THE FINDING THAT REORDERS THE SHORTLIST

These are domestic Chinese businesses with an export gesture attached. Aima — described everywhere as aggressively regionalising — filed overseas revenue of 0.86% of turnover, and it fell 7.89%. Xinri exports at 9.95% gross margin against 14–21% domestically: exporting is its least profitable channel. NIU sold 80,018 units internationally across 40+ countries — about 2,000 per market. Luyuan's international budget was HKD 6.1m, "delayed and unutilized".

A partner for whom export is under 1% of revenue and falling **will not fund your warranty claims, your marketing or your credit terms.**

The order-minimum chasm

Huaihai — a top-five maker with its own OEM arm — quotes a minimum of 10,000 units a year, roughly **twenty times the entire PKR 50m ceiling**. The tier that deals at **50–200 units** is trading houses and small ODMs.

There is nothing in between. Scale and reachability are inversely related — and the reachable tier is where a battery warranty backstop is weakest.

Batteries are the business

Yadea’s audited accounts show **batteries and chargers at 28.4% of revenue — RMB 10.5bn** — and it sold **18.3 million batteries against 16.3 million vehicles**.

The recurring money in this industry is batteries, not machines. The market leader **monetises** battery replacement rather than absorbing it — which is exactly the exposure a new importer would carry instead.

Battery chemistry in Pakistani conditions

Heat and load-shedding shorten every chemistry — but not equally

CHEMISTRY	PACK PRICE	RATED CYCLES	CONSUMER LIFE	FLEET LIFE
Lead-acid	PKR 10–20k	300–400	12–15 months	8–13 months
Lithium-ion	PKR 40–120k	2,000+	3–5 years	3–5 years
NiMH	PKR 25–50k	—	—	—

Trade evidence implies **lead-acid is what is currently arriving** — precisely as China regulates it out domestically. A pack failing at 12–15 months against a 12-month warranty means claims land exactly as cover expires.

RULES AND TARIFFS

What it costs to bring in, and the clock running against it

1%

10–15%

30 Jun 27

CONCESSIONS SUNSET — FBR'S OWN WORD

Electric motorcycles enter under **PCT 8711.6040**, with the concession granted under **Table-II to Part-V(A) of the Fifth Schedule to the Customs Act 1969**. The Finance Act 2026 extended it by one year — FBR's language is *"extension in date of sunset."* The successor policy, AIDEP 2026-31, remains an unapproved draft awaiting the Prime Minister and the IMF.

THE GATE BEHIND THE RATE IS WRITTEN FOR A DIFFERENT TECHNOLOGY

The 1% is not automatic — it requires **certification and quota determination by the Engineering Development Board**, measured against SRO 656(I)/2006. **That instrument contains no electric-vehicle provisions at all**; its only use of the word "electric" describes a crane hoist.

The motorcycle schedule an e-bike assembler is judged against mandates an **engine assembly line** — crank cases, crankshaft and connecting rod, spark plug and tappet adjustment, oil filling — plus an **emission tester** at final inspection. **An electric motorcycle has none of those**. Certification therefore rests on how EDB applies an obsolete schedule, and eligibility, cost and timeline cannot be self-assessed before applying.

TWO PROVISIONS WORTH KNOWING

An on-ramp, if it survived. AIDEP allowed **10 built-up units per variant at half duty, up to 200 units per company**, with manufacturing compulsory within two years — import, prove the market, then commit. But AIDEP expired 30 June 2026 and **it is unconfirmed whether the two-wheeler pilot continued**.

A capacity warning. The government's own NEV Policy states that local electric two- and three-wheeler capacity has reached **two million vehicles a year** and that *"much of this capacity is heavily underutilized."* Pakistan does not need another assembly line.

K1 · Capital**CLEARED**

PKR 50m ceiling. **Not binding** for a fleet entry needing ~200 machines.

K2 · Attention**CLEARED**

30 hrs/week. Not binding — though the **income clause remains untested**.

K3 · Supply**OPEN**

Will a maker supply at this scale? **Yadea's territory is taken; Huaihai's MOQ is 20× the ceiling.**
Answerable only by asking.

K4 · Import ability**OPEN**

Can a letter of credit be opened today at the volumes required? **A bank conversation, not a search.**

K5 · Battery backstop**AT RISK**

No enforceable warranty chain identified. India shows failure here **can cost the right to sell**, not just margin.

K6 · Landed cost**UNBLOCKED**

Rates and tariff line confirmed from FBR primary sources. **Model buildable — run it with and without concessions.**

K7 · Policy**FIRING**

Concessions sunset 30 June 2027; successor unapproved; subsidy tapers to 40%. India proves the downside empirically.

K8 · Parts & service**DECISIVE**

India's largest player was destroyed by this from 50% share. **For a fleet, uptime is the product.**
Underspending here is the failure mode.

K9 · Volume**FAVOURABLE**

Fleet needs **under 1% of 50,000+ known riders**.
Consumer requires competing with 1.69m units a year.

K11 · Defensible position**HARD**

~88% incumbent share, 500+ dealers, already launched. Only answerable via a segment the incumbent will not serve.

INTELLECTUAL HONESTY

What this analysis does not establish

- **No supplier, bank, platform or regulator has been contacted.** Every availability judgement is inference from public evidence.
- **Whether a rider can finance PKR 248,500.** The payback is excellent and irrelevant if the customer cannot buy. The model may need to be lease or battery-as-a-service.
- **How EDB applies an ICE-era schedule to an electric vehicle.** It gates the only favourable duty rate, and no published standard exists to self-assess against.
- **Whether the 200-unit CBU pilot survived AIDEP's expiry.** The most useful provision found, and possibly extinct.

- **Pakistani market figures are press-reported.** PAMA's own data files were not obtained — and PAMA counts members only, which excludes almost every electric maker.
- **Swap-station capex and the network density a city needs.** The fleet thesis rests on infrastructure that has not been costed.
- **Petrol price conflict unresolved:** PKR 343.10 verified 25 August, against a press figure of 414–415. If the higher figure is right, every number here improves.

HOW TO READ THIS BOARD

Every figure carries an evidence grade. **AUDITED** means read from a company's own filing.

ASSOCIATION is industry-body statistics. **PRESS** is trade media, unverified. **COMPANY** is self-declared. **Where a filing and the press disagreed, the filing won** — and in one case that reversed a conclusion this analysis had already published.

Sources

- **Audited filings:** Yadea Group Holdings FY2025 annual results (1585.HK) · Aima Technology FY2025 annual report (603529.SH) · Jiangsu Xinri E-Vehicle FY2025 (603787.SH) · Luyuan Group FY2024 annual report (2451.HK) · Niu Technologies Form 20-F FY2025 (SEC, CIK 1744781)
- **Primary regulation:** New Energy Vehicles Policy 2025–30 (Ministry of Industries & Production) · FBR Salient Features Budget 2026–27 (Customs Act 1969) · SRO 656(I)/2006 as updated · AIDEP 2021–26 · NEPRA tariff SRO 279(I)/2026
- **Industry & market:** China Chamber of Commerce for the Motorcycle Industry · PAMA membership · manufacturer specifications and published pricing · Indian regulatory and market reporting

Official bilateral trade statistics were also used in the underlying analysis. They are held privately and deliberately not reproduced here — the licence governing them prohibits redistribution.

Compiled 26 August 2026 to support a decision on entering Pakistan's electric two-wheeler market. **Three gates remain open and can only be closed by conversations.**